



Industry watchers also believe that Akasa Air has a good chance in this evolving landscape. Ultimately, the coordination between Air India and Air India Express must be strong enough to challenge IndiGo's dominance effectively. Adding competitive complexity, Akasa Air's rapid growth—5.3% market share in June, with an industry-leading 91.4% passenger load factor—shows how nimble new entrants can quickly capture market share in India's expanding aviation sector. Akasa's 156% YoY passenger growth, though from a low base, signals the market's receptiveness to well-executed new brands, making Air India's transformation more urgent.

DELIVERY CHALLENGES

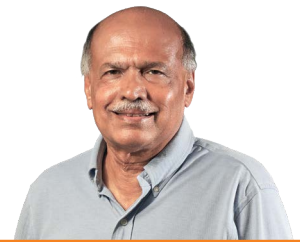
Supply chain constraints affecting aircraft deliveries compound the challenges of fleet modernisation. Wilson's warning that "aircraft shortages from both manufacturers are expected to persist for 4–5 years" suggests Air India's expansion timeline faces structural headwinds beyond management control. The delivery of 50 Boeing 737 MAX aircraft, which was put off from December 2024 to June 2025, has been further delayed, now impacting capacity planning and route development.

This reality forces difficult resource allocation decisions. Wilson's strategic approach, according to reports, is that if an airline is capacity constrained, one has to be ruthless concerning where one deploys the aircraft to maximise returns, which indicates prioritisation of profitable routes over network completeness. Such tactical adjustments, while rational, may delay the



KAPIL KAUL
CEO, CAPA

"The impact of the crash has been severe on AI, both financially and non-financially. However, it is regrouping fast and expects normalisation by October 1"



CAPTAIN GOPINATH
Founder, Air Deccan

"It is going to be a herculean task for the Tatas to put the building blocks together again. The group must do whatever it takes to restore public trust"

comprehensive transformation required to challenge IndiGo's market dominance. As an example of this strategy, Air India has announced that it will discontinue its non-stop flights between Delhi and Washington, DC, due to a temporary shortage of aircraft. In this context, Wilson's target of 400 aircraft by 2027 and 30% domestic market share represents ambitious goals that will require sustained execution excellence and market expansion.

DGCA'S POOR SHOW

Even as Air India grapples with several headwinds, it is also essential to highlight the inadequacies of the DGCA. "The fundamental problem with India's civil aviation sector is the absence of an independent, empowered regulator. In other sectors that underwent privatisation or

liberalisation—such as telecom, insurance, and pensions—the government created strong regulatory institutions at the outset to oversee the transition and protect consumer interests. Why was the aviation sector treated differently?" asks an aviation analyst quoted before.

He claims that the government's refusal to treat aviation with the same seriousness reflects a more profound neglect. "Today, regulators appear to be hand-in-glove with the airlines. The absence of proper documentation, accountability, and regulatory oversight is not just an oversight—it's a dereliction of duty bordering on sacrilege."

The coming months will reveal whether Air India's transformation can evolve from capital-intensive operational improvement to sustainable competitive advantage. **BT**